

Outlook remains challenging after growth disappointed in Q1

- **Key changes:** We've trimmed our 2026 GDP growth forecast for Turkey by a further 0.1ppt to 2.3%, below the 3.2% consensus. The economy slowed more than we expected in Q1, expanding by 2.5% y/y versus our 3% projection, and the headwinds against activity from the regional conflict look set to persist. Meanwhile, we now project inflation will end 2026 at 29.5%, up 0.5ppts from our estimate a month ago. We continue to expect the central bank (CBRT) to keep interest rates at their current levels until Q4, but now see the policy rate ending 2026 at 35.5%, up from the 35% that we estimated a month ago.
- **Short-term forecast:** We expect annual growth to ease further to 2% in Q2. The May PMI survey signals tentative improvement for the struggling manufacturing sector after rising to 49.8, the highest in over two years. But the broader outlook remains challenging amid moderating demand conditions, which have pushed sentiment in the services sector to its lowest point since mid-2021. Meanwhile, the stricter credit growth caps recently announced by the CBRT will constrain consumer activity.
- **What to watch out for:** FX reserves came under renewed pressure after a court ruling on May 21 removed Ozgur Ozel from the leadership of the main opposition party. Although markets have since stabilised, the event has lent further credence to speculation that elections could be brought forward to 2027, a year ahead of schedule. Such a scenario would increase the risk of a renewed policy bias toward short-term growth support at the expense of macroeconomic stabilisation.

Table 1: Turkey forecast overview

	(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)					
	2023	2024	2025	2026	2027	2028
GDP	5.0	3.3	3.6	2.3	3.4	3.0
Private consumption	10.5	4.3	4.0	3.2	1.8	1.7
Fixed investment	7.3	2.7	7.0	0.2	2.5	2.1
Exports of goods and services	-2.3	0.1	-0.3	-4.0	6.9	2.9
Consumer prices	53.9	58.5	34.9	31.1	22.0	13.3
Unemployment rate (%)	9.4	8.7	8.4	8.9	9.7	9.8
Current a/c balance (% of GDP)	-3.7	-1.0	-1.9	-3.3	-2.1	-1.8
Government balance (% of GDP)	-5.1	-5.1	-3.1	-3.2	-2.6	-2.4
Gross government debt (% of GDP)	24.9	20.8	21.7	24.3	24.4	25.6
Central bank policy rate (% EOP)	42.50	48.13	38.00	35.50	24.00	16.00
10yr govt. bond yield (% EOP)	23.65	27.15	27.10	26.95	19.70	14.37
Exchange rate (TRY per US\$, EOP)	29.48	35.35	42.96	50.70	58.00	63.30

Source: Oxford Economics

Baseline forecast

Recent developments

The economy slowed more than we expected in Q1, showing 2.5% y/y expansion versus our 3% projection. At 0.1% q/q, momentum in Q1 was softer than the 0.3% q/q increase we expected, driven primarily by government consumption and a build-out of inventories. Private consumption expanded by a weak 0.1% q/q, down from a 4.2% increase in Q4 2025. Meanwhile, investment and net exports dragged on growth in Q1. On the sectoral side, services continued to drive growth, while industry was the only sector to contract in Q1.

The rise in the May PMI to 49.3, the highest in over two years, suggests pressure on industry may have started to ease part-way through the quarter. However, any improvement will be gradual as demand softens. Meanwhile, services activity may weaken after a sharp decline in economic sentiment.

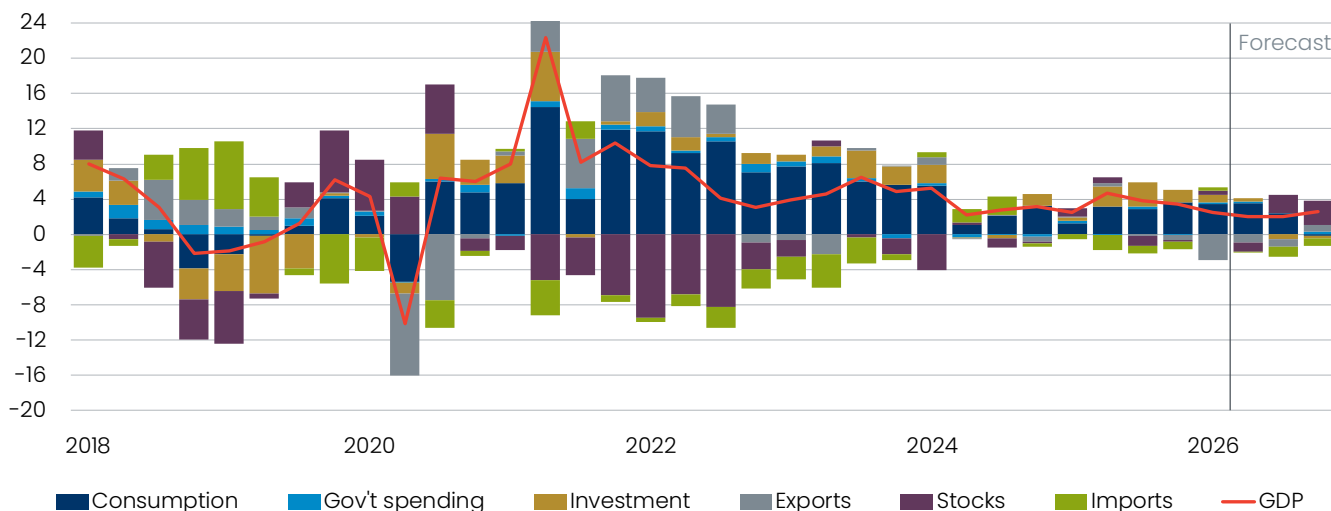
Short-term forecast

We've trimmed our 2026 GDP growth forecast for Turkey by a further 0.1ppt to 2.3%, bringing the cumulative downgrade to 0.7ppts relative to our pre-war baseline. Our projection lies below the 3.2% consensus estimate, down 0.1ppt from last month. We expect annual growth to ease further to 2% in Q2 ([Chart 1](#)) as domestic demand continues to moderate and net exports make a negative contribution to growth. We expect growth to pick up to 3.4% next year, up 0.1ppt from our previous projection.

Chart 1: We expect slower GDP growth in Turkey this year

Turkey: Contributions to GDP

% change, y/y



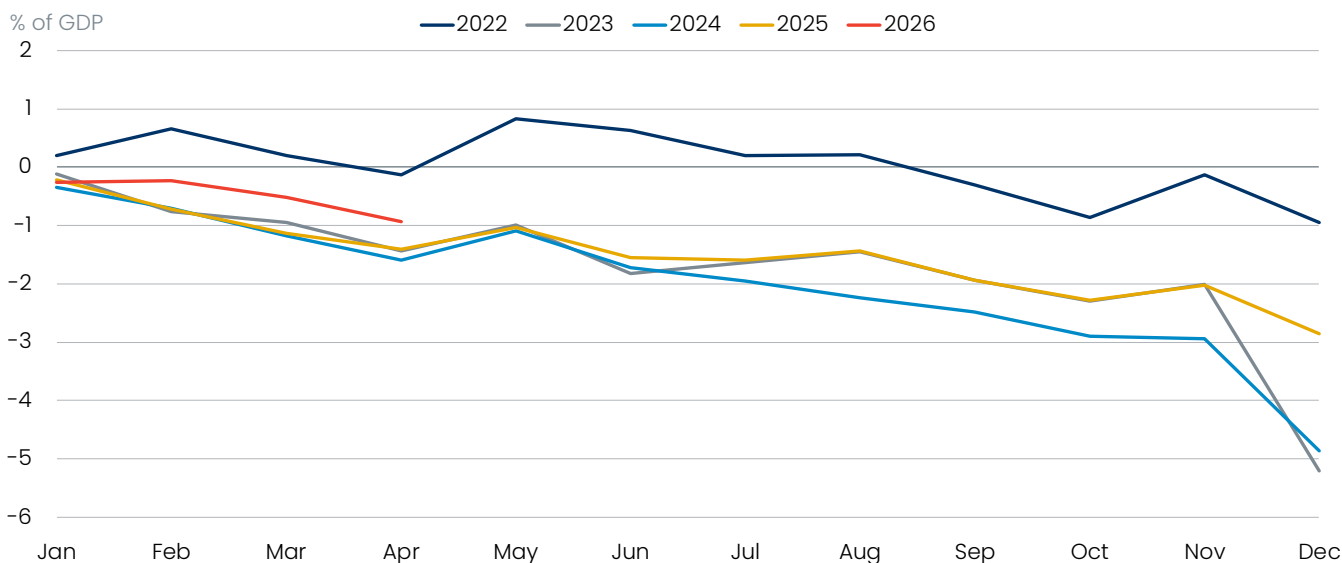
Sources: Oxford Economics, Haver Analytics

Policy assumptions

Fiscal policy. Turkey's budget deficit widened in April, following a strong Q1 ([Chart 2](#)). We project a deficit of 3.2% of GDP (versus 3.0% last month), slightly below the 2026 central government's budget target of 3.5% of GDP. The government has stepped in to dampen the inflationary effects of the energy price shock through a sliding scale mechanism in fuel prices, whereby the Special Consumption Tax is reduced to cover up to 75% of the increase in international oil prices. We estimate the forgone fuel tax revenue will cost around 0.3% of GDP this year.

Chart 2: The government sticks to fiscal discipline

Turkey: Fiscal deficit (ytd)

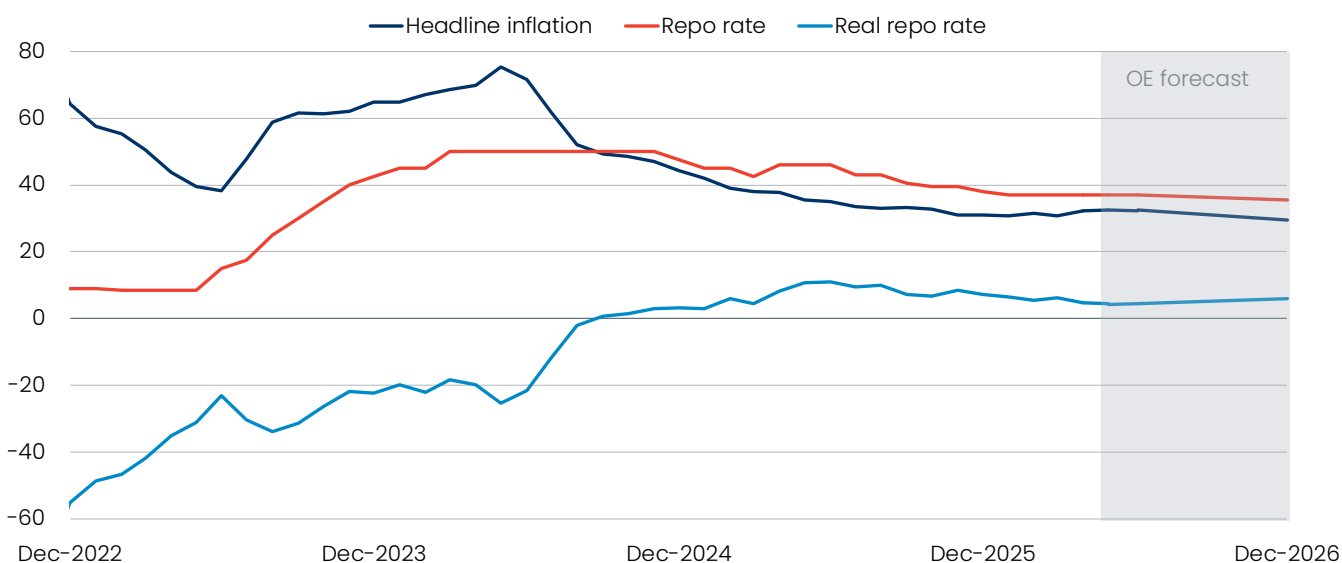


Sources: Oxford Economics, Haver Analytics

Monetary policy. The CBRT kept rates on hold in June, as widely expected. We continue to project the pause will extend until Q4, but now see the policy rate ending 2026 at 35.5%, up from 35% estimated a month ago and 28% pre-war. Interest rates have been on hold since January, with the policy rate (one-week repo) at 37%. That said, the CBRT delivered an effective rate hike in March as it suspended one-week repo auctions, pushing the weighted average funding rate to 40%, the ceiling of its interest rate corridor. The bank has provided all funding via the overnight facility since.

Chart 3: The CBRT will err on the side of caution in the coming months, returning to cuts in Q4 at the earliest

Turkey: Inflation and policy rate outlook (%)



Sources: Oxford Economics, Haver Analytics

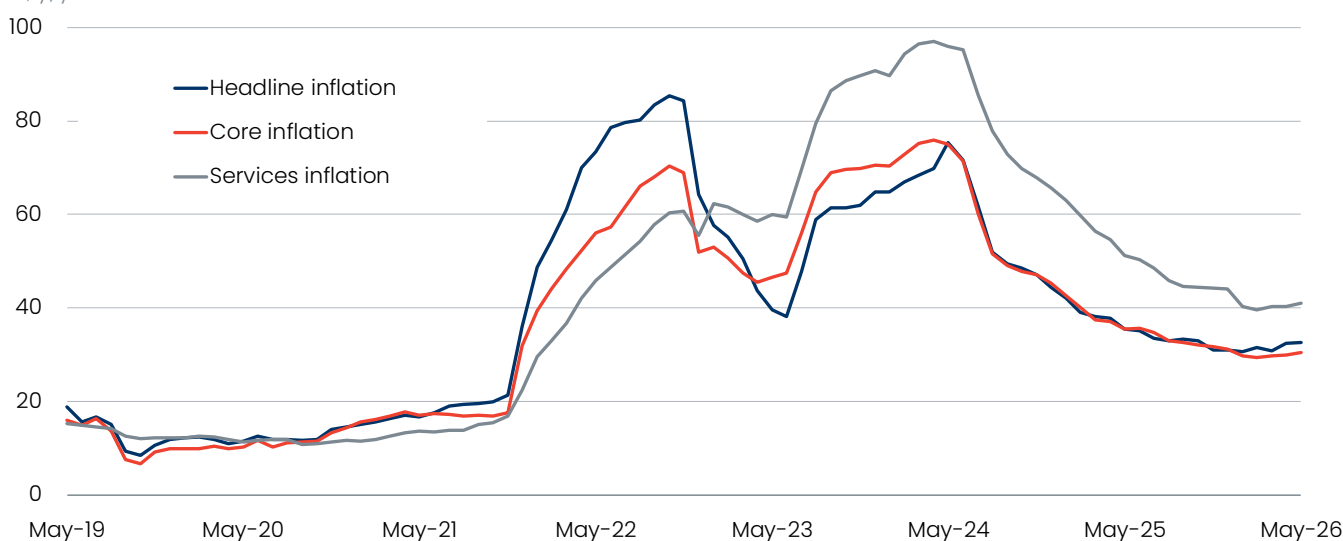
Key drivers of short-term forecast

Inflation will be higher for longer. Annual inflation rose to 32.6% in May ([Chart 4](#)), the highest reading since October and up from 32.4% in April. This was driven by energy price pressures, evident in elevated transportation costs, as well as costlier food and clothing. We expect energy to be the dominant driver of inflation in the near term and project marginally higher inflation in June and July, before disinflation resumes in August. Overall, we now project inflation will end 2026 at 29.5%, up 0.5ppts from our estimate a month ago and 6.5ppts higher than our pre-war view.

Chart 4: Inflation remains on the rise for now

Turkey: Inflation dynamics

%, y/y



Sources: Oxford Economics, Haver Analytics

The June survey of market participants indicates end-2026 inflation at 29.3%, up from 23.8% pre-war. Meanwhile, the CBRT projects end-2026 inflation at 26% (up from the target midpoint of 18% prior to the war). The bank now expects inflation to decline to 15% by end-2027 and 9% by end-2028.

We project private consumption growth will slow to 3.2% y/y this year, from 4% in 2025. Household consumption rose by just 0.1% q/q, in Q1, notwithstanding a 5.4% q/q increase in retail sales volumes. The energy shock and the rise in prices add to pre-existing consumer spending headwinds with their adverse impact on real incomes. This is in parallel with the frailty of the labour market. Moreover, tighter curbs on consumer credit will exert pressure on the appetite and ability of households to spend even as the Turkish lira depreciates steadily.

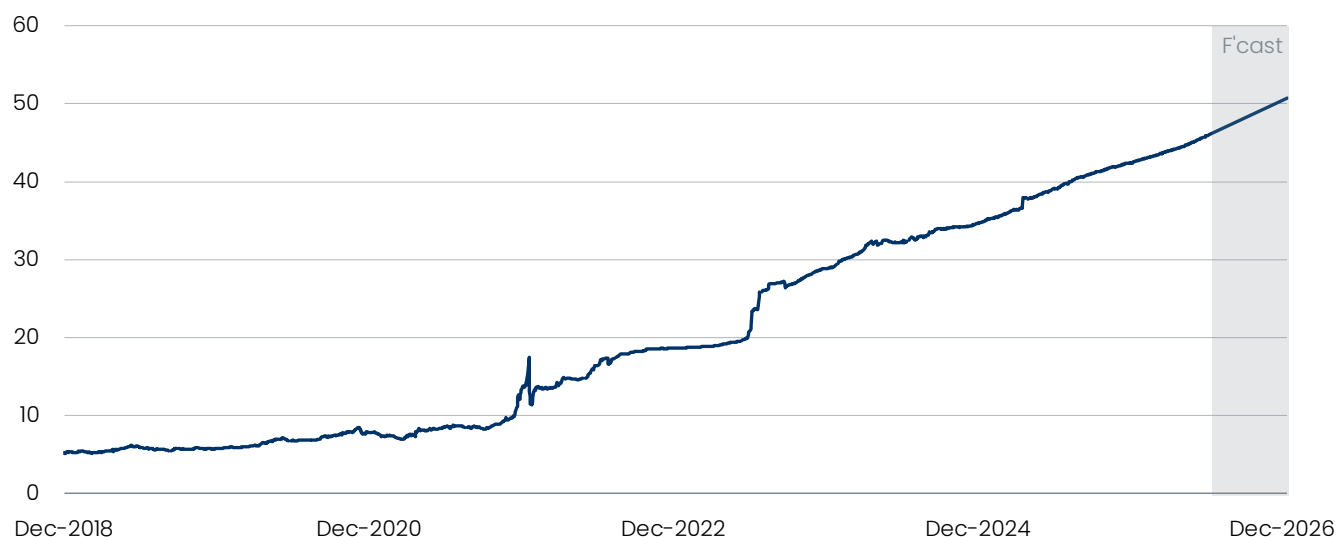
Energy price shock reinforces external headwinds. In our updated baseline, we expect oil prices to ease from Q3 but expect them to remain elevated and have revised our 2026 average Brent oil projection to \$98.2 per barrel, up from \$91.6 per barrel last month. The 12-month rolling current account deficit narrowed to \$37bn in April, from \$39.7bn a month earlier. Preliminary trade data for May showed an improvement, but we expect energy price to sustain upward pressure on the current account and project a current account shortfall of \$56bn (3.3% of GDP) by end-2026 versus \$30.2bn at the end of last year.

We expect an exchange rate of TRY50.70/USD at the end of 2026. The CBRT has intervened heavily to support the lira in the face of financial market volatility and risk-off outflows, ensuring its relative stability. The CBRT appears to be targeting an annualised depreciation rate of 20%-25% at present, up from 15% earlier in the year. Assuming the

conflict eases, we see the lira depreciating steadily towards TRY50.70/USD by year-end ([Chart 5](#)), from TRY46.30/USD now.

Chart 5: We expect steady lira depreciation in H2

Turkey: USDTRY

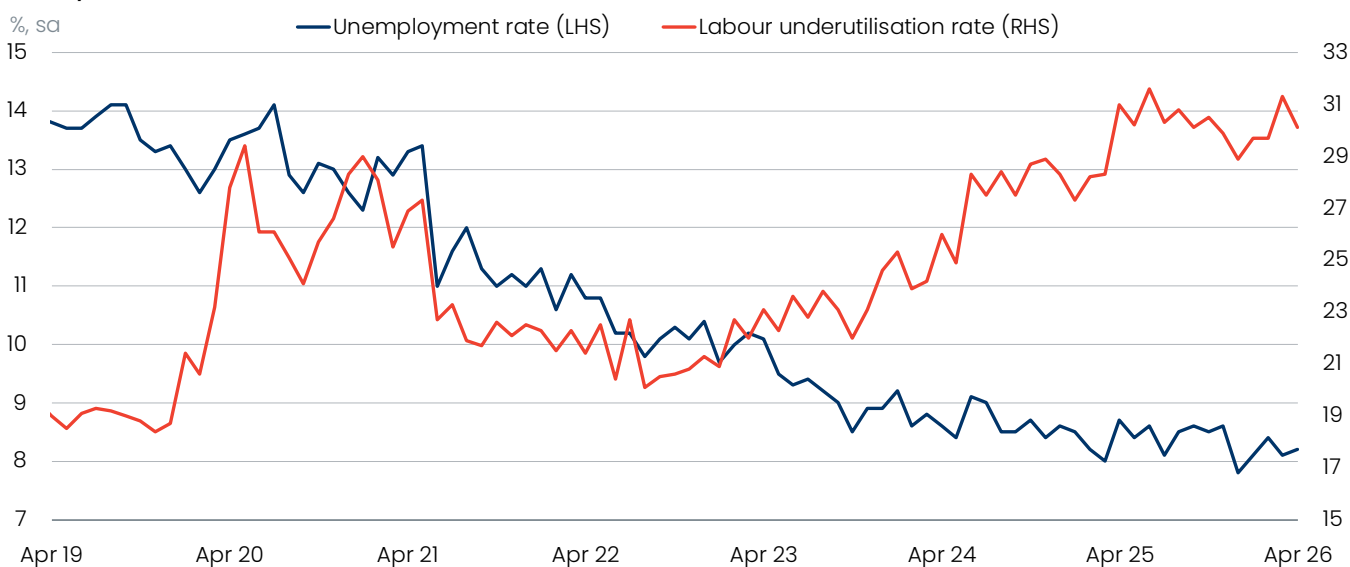


Sources: Oxford Economics, Haver Analytics

The outlook for the labour market remains challenging. The seasonally adjusted unemployment rate inched up to 8.2% in April, from 8.1% in March. The number of people employed remains lower than this time last year, as is the size of the labour force, with the male employment rate at its lowest level since late 2022. The labour underutilisation rate eased to 30.1% in April from 31.3% in March ([Chart 6](#)), albeit remaining higher than at the start of the year. We project the unemployment rate will rise above 9% in H2.

Chart 6: The labour market outlook is weak

Turkey: Labour market conditions



Sources: Oxford Economics, Haver Analytics

What to watch out for

Recurrent balance-of-payments pressures. FX reserves came under renewed pressure after a court ruling on May 21 removed Ozgur Ozel from the leadership of the main opposition party. We estimate the CBRT spent about \$9bn in FX reserves to stabilise markets and ensure the lira's relative stability. Overall, gross reserves have fallen from \$210bn pre-war to just under \$160bn at the beginning of June. Net reserves accounting for the liabilities that FX swaps with local banks create have fallen sharply, but recent data suggest stabilisation.

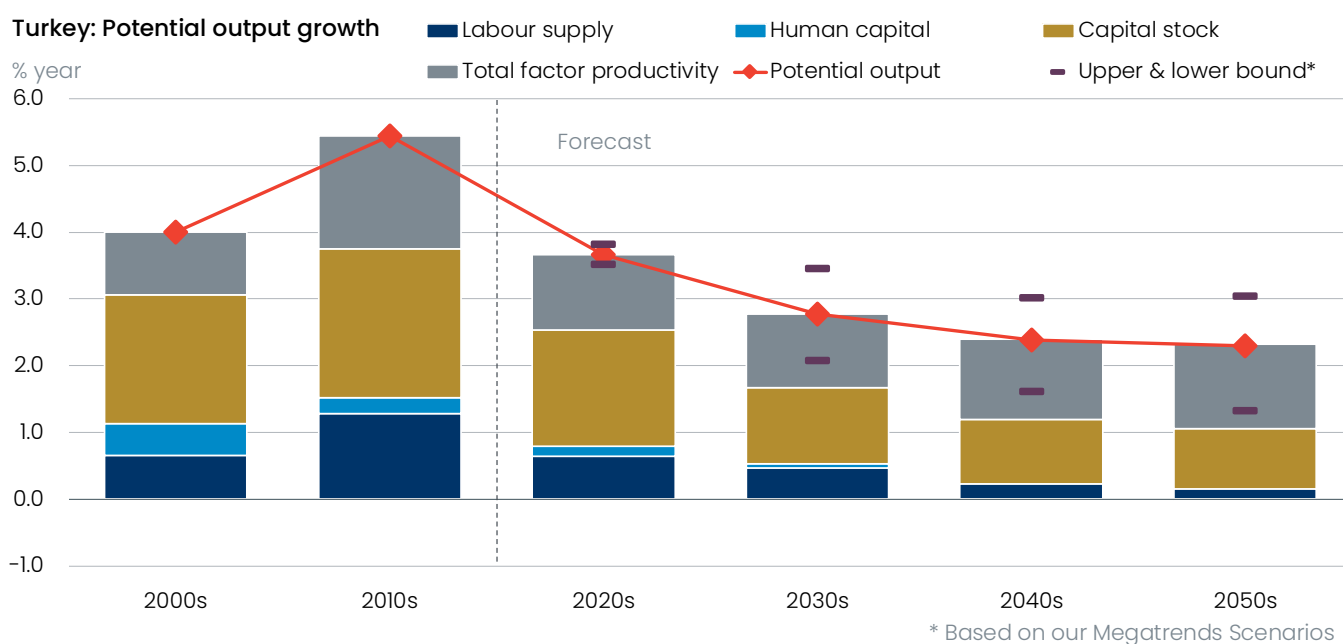
Signs of stress in the banking sector. A slowing economy and lira weakness increased the burden of the corporate sector's large exposure to US dollar-denominated debt. This added to the stress on Turkish banks, although they're still profitable and well-capitalised. As overall credit volume continues to grow and forbearance measures remain in place, the ratio of banks' non-performing loans to total loans rose to 2.7% in Q1. The ratio peaked at 5.4% at the end of 2019 and bottomed out at 1.5% in Q1 2024. Turkey's sovereign credit rating downgrades before the policy shift in 2023 lifted funding costs for banks because their capital ratios are calculated using these ratings.

Delays to structural reforms. Improvements to policy credibility and reforms to reduce external imbalances on a sustained basis are needed to reduce the risk of crises in the future, but we're unconvinced by the government's commitment to these reforms. An erosion of institutional strength cost Turkey its investment-grade credit rating, and persistent institutional uncertainty continues to undermine the economy's resilience.

Long-term prospects

The slowdown in Turkey's growth in recent years has a cyclical element, but addressing the structural impediments to sustained long-term growth has become increasingly urgent. To achieve this, Turkey will need to rethink the current economic model and commit to productivity-enhancing reforms. But the difficult political environment has repeatedly delayed these moves. Reflecting this, we estimate that Turkey's growth potential is near 3%. ([Chart 7](#)).

Chart 7: Potential GDP growth is set to cool



Sources: Oxford Economics, Haver Analytics

Reforms are needed to boost potential growth. A much more stable economy and lower inflation in the early 2000s underpinned growth in Turkey during that decade, but structural reform efforts have lost momentum in

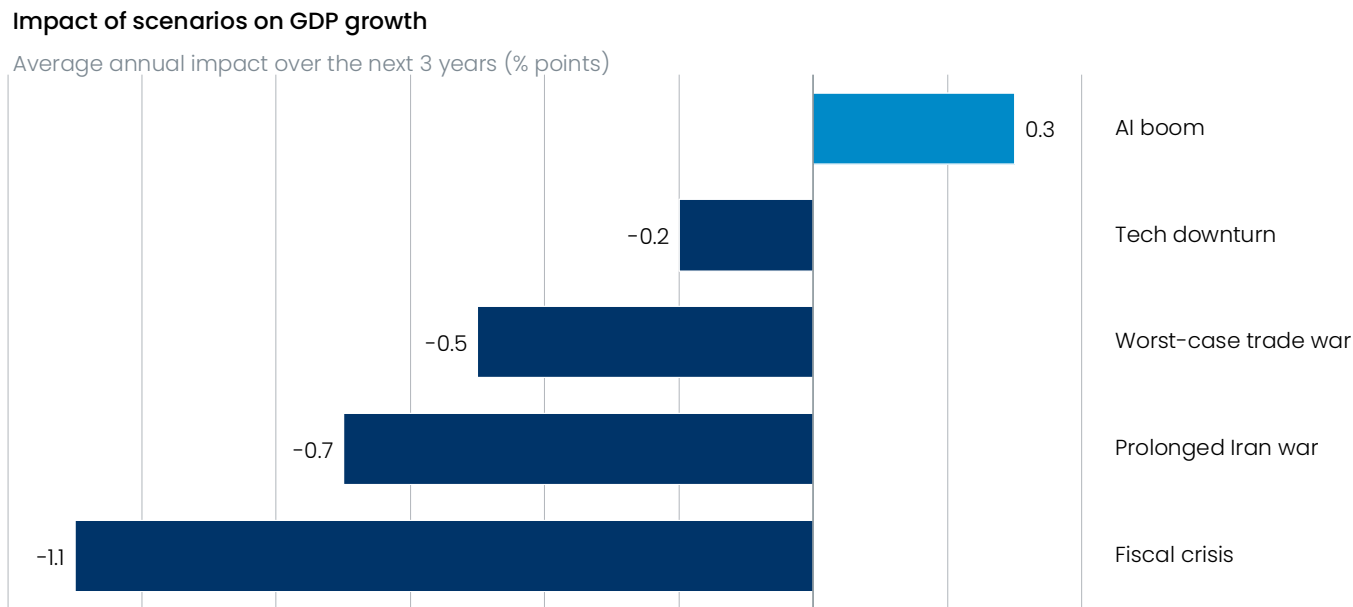
recent years, curbing productivity growth. The appointment of market-friendly ministers after the May 2023 election triggered a more orthodox policy direction, and we expect this to be maintained. Turkey benefits from continued labour supply growth, an expanding middle class, and a large domestic market, which underpin its attractiveness as a destination for foreign direct investment. That said, the weak reform momentum has weighed on labour productivity and Turkey hasn't been able to take full advantage of its favourable demographics. Moreover, we expect a significantly reduced contribution from labour inputs over the coming decade, driven by a much slower rise in the working population.

Scenarios

Exposure to key global risks

AI boom. In this upside scenario, the global economy is bolstered by buoyant US tech investment and stock prices, at the same time as rapid AI adoption fuels gains in productivity. Turkish GDP growth would be an average of 0.3ppts above our baseline over the next three years (Chart 8).

Chart 8: The balance of risks to growth is skewed to the downside

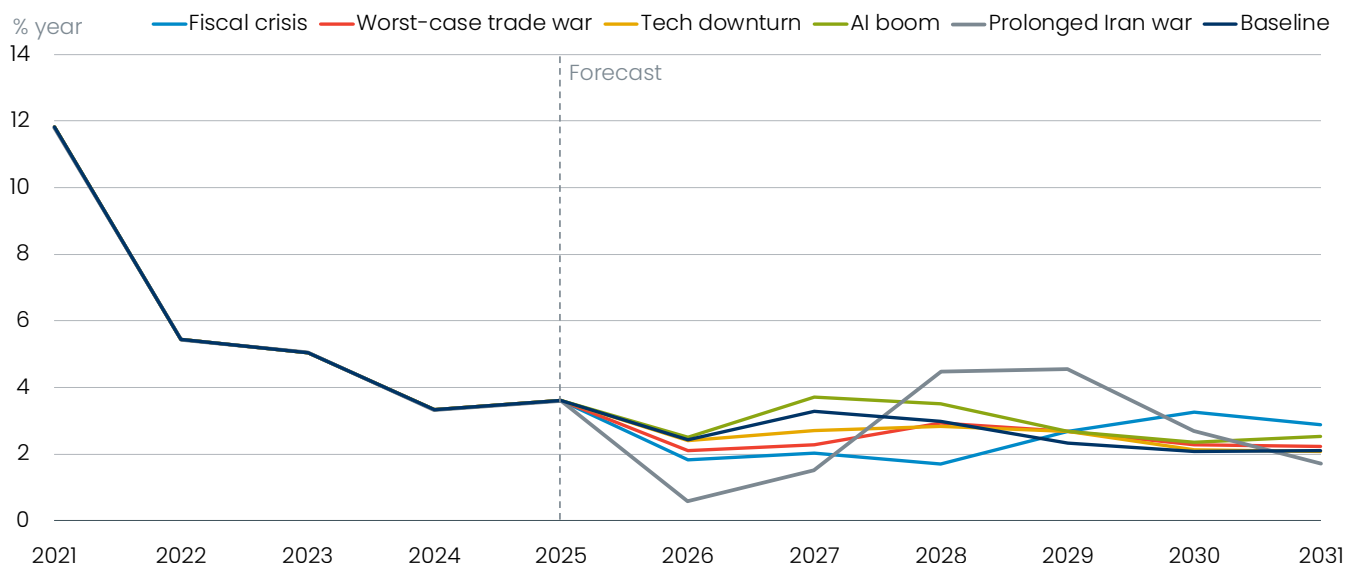


Source: Oxford Economics

Prolonged Iran war. In this scenario, the US-Israel war with Iran proves more prolonged than in our baseline forecast. A sustained stalemate leads to the Strait of Hormuz remaining effectively closed for six months. Alternative shipping routes also come under threat, while the extended conflict increases damage to energy infrastructure. As a result, energy prices remain elevated for an extended period. Meanwhile, energy shortages damage activity, with some household spending delayed. Supply-chain pressures outside the energy sector result in broader price and cost pressures. Against this backdrop, annual growth in Turkey would be an average of 0.7ppts weaker over the next three years (Chart 9).

Chart 9: The outlook is vulnerable to global market pressures

Turkey: Impact of scenarios on GDP growth



Source: Oxford Economics

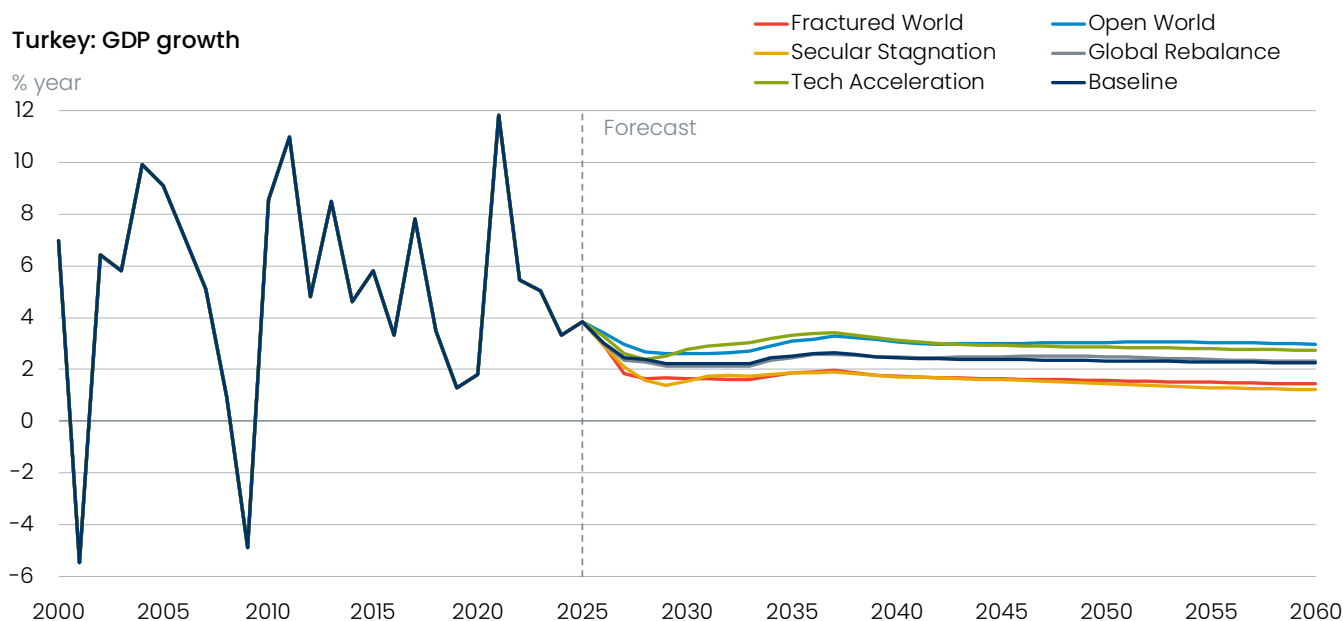
Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Technological revolution. In this scenario, trade barriers are eased over the next decade, fostering greater cooperation and improved geopolitical stability. This supports technological progress, which also benefits from higher investment and research and development spending, fostered by a more stable business environment. Sustained real wage growth increases labour market participation and reduces informality. Productivity and labour force growth are stronger, resulting in Turkey's GDP growing by 1ppt a year more than in our baseline forecast from 2030–2060.

Fractured world. Under this pessimistic scenario, persistent economic underperformance boosts support for populist tendencies and further institutional deterioration. Governments resort to unorthodox policies and delay structural reforms, which fuels additional deterioration of total factor productivity. Trade barriers become more widespread, driving lower capital investment. Recurrent supply shocks and the erosion of central bank independence keep inflation expectations de-anchored, prolonging inflation persistence. Central banks prioritise government borrowing needs by keeping rates lower than required to bring inflation back to target. In this scenario, Turkey's GDP trends below 1.5% by 2050 and grows by 0.9ppts a year less than in our baseline.

Chart 10: The economy would benefit from technological advances



Sources: Oxford Economics, Haver Analytics

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	6.7	0.2	129
Market demand	6.0	0.0	86
Market cost	6.0	0.0	90
Exchange rate	7.5	0.7	155
Sovereign credit	5.0	0.3	118
Trade credit	9.0	0.0	93

Source: Oxford Economics

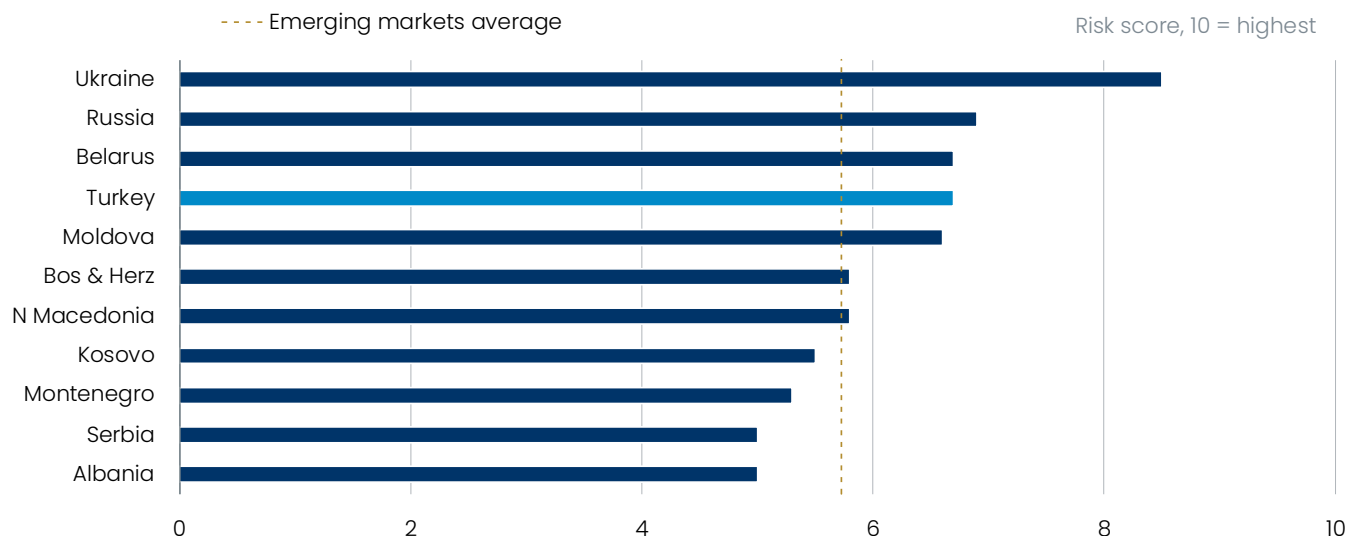
Overall risk for Turkey: 6.7/10*

Turkey's overall risk score is moderately high at 6.7, slightly higher than six months ago. The score is above the emerging markets average of 5.7, ranking it 129th out of the 164 countries in our survey.

The growth picture for Turkey has been extremely volatile over the past few years, including a recession in the wake of the 2018 currency crisis, which forced significant policy tightening. The pandemic then precipitated a fresh period of stress. Still, Turkey was one of the few economies that didn't contract in 2020. Subsequently, GDP grew by 11.8% in 2021, the strongest rate among the major emerging markets. The pace of growth has since moderated and will likely be lower this year at 2.4%, cooling from a gain of 3.6% last year ([Chart 11](#)).

Chart 11: Turkey's risk score is above the emerging markets average

Economic risk: Turkey vs Emerging markets average



Source: Oxford Economics

Market demand: 6.0/10

The market demand risk score for Turkey is 6.0, above the emerging markets average of 5.5. Demand is subject to significant fluctuation despite a large domestic market, owing to volatile inflation trends and financial conditions. Elevated domestic and geopolitical tensions, the volatile lira, and the pandemic have all had an impact on demand conditions.

Market cost: 6.0/10

The market cost risk score is high at 6.0, reflecting persistent upward pressure on prices. Due to ongoing pressure on the lira, inflation has been in double digits for many years. The annual rate has peaked twice in recent years – 85.5% in October 2022 and 75.4% in May 2024 – and averaged 58.5% in 2024. We think it will slow to 29.5% by year-end, from 30.9% at end-2025, but don't see it returning to single digits until 2029. We think high inflation will persist over the forecast period, particularly because of elevated food prices, sticky inflation expectations, and bottlenecks in the Turkish economy.

Exchange rate: 7.5/10

Turkey's exchange rate risk score is 7.5, significantly above the emerging markets average of 4.3. The score will likely remain at that elevated level, given the persistent external deficit, which keeps pressure on FX reserves. The fragility of the Turkish lira reflects the economy's vulnerability to the increase in US interest rates and a strong US dollar. Other factors include high FX debt repayment costs for Turkey's corporates, large external financing needs, and concerns about institutional robustness. The lira suffers during periods of financial market volatility – the central bank has intervened heavily to stem the lira's slide since the start of the war, drawing down FX reserves.

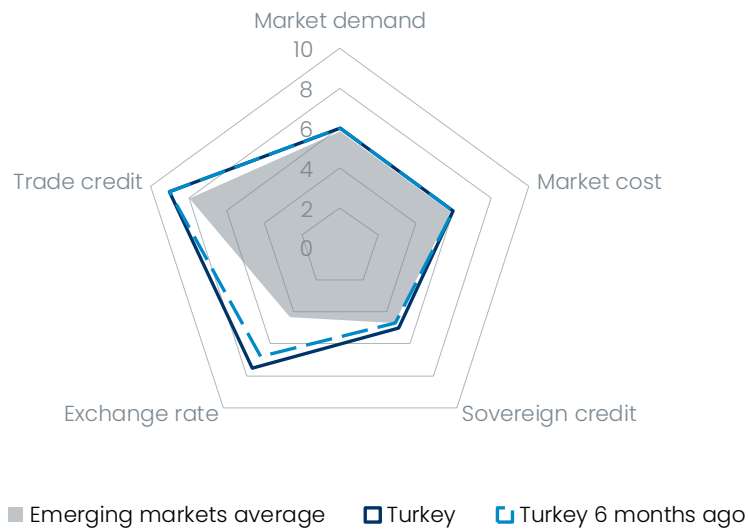
Sovereign credit: 5.0/10

In our system of sovereign credit risk, Turkey underperforms due to the overhang of enormous external imbalances, high inflation, and an extended period of rapid expansion in the banking sector. These factors are offset by a still broadly healthy fiscal position. Turkey lost its investment-grade credit ratings in 2016 and 2017, and

subsequent downgrades took the ratings to an extremely low level. But recently, they've been on an upward trajectory, reflecting the improvement in policy settings since mid-2023. Fitch raised its assessment for Turkey twice in 2024 and assigns a BB- rating with a stable outlook. S&P also rates Turkey at BB- with a stable outlook. Moody's aligned its rating with the other two agencies in July 2025, raising it to Ba3 from B1, with a stable outlook. We don't expect any changes in ratings in the near term.

Chart 12: Turkey's level of exchange rate risk is consistently high

Economic risk: Turkey vs Emerging markets average



Source: Oxford Economics

Trade credit: 9.0/10

Turkey's trade credit risk is high at 9.0, reflecting increased pressure on corporate balance sheets in an economy suffering from high inflation and a fragile currency. The pace of debt accumulation by Turkish corporates rose rapidly in the previous decade, especially in foreign currencies, to take advantage of low global interest rates. Companies in industries that are less naturally hedged, such as construction and energy, are particularly exposed to any weakening of the currency.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).